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“I’m Too Young to Start Saving,” and Other Excuses

A penny saved is a penny earned.

—*Benjamin Franklin*

The 2007 retirement confidence survey conducted by EBRI found that seven out of ten workers say their assets total less than \$10,000. This is not a very encouraging figure when contemplating the ever increasing need for workers to make up the shortfall between their current standard of living and what social security will provide. Experts say that when you retire you will need to replace about 70-85 percent of your pre-retirement income in order to maintain a similar standard of living.

But for many people, social security replaces only a portion of their current income: 50 percent or more for those earning less than \$25,000 and 25 percent or less for those earning more than \$100,000. Compounding the problem is the fact that one-third of retirees rely on social security for 90 percent or more of their income. With an average payment of around \$1,000, it is not hard to see that many retirees’ standard of living will plummet.

Despite these sobering statistics, there is always an excuse to not save money. Common excuses are that you’re too young, too